MS uses 15 colour highlight with the char background tool.
MS can also use millions of colours with borders and shading.

Conflict? Highlight has priority over shading.

Styles? Highlight char style has priority over direct shading. (actually, no UI to set character style highlight and seems to be ignored on import).

Styles? Highlight para style has priority over direct shading. (actually, no UI to set paragraph style highlight, although it is imported/applied).

NONE? How does “no highlight” affect direct shading when char style or para style defines highlight? (shading shows, style highlight is cancelled.)